MORE THAN MONEY · MTM STRATEGIES

Supernova

Impulsive reversals on short timeframes: the star gives the warning, but you only enter once all three confirmations are met.



Strategy guide

morethanmoney.pt

STYLE

Counter-trend reversal, for scalping and intraday

ASSETS

US30 (where the parameters were set), NAS100 and Bitcoin; gold works well but needs more testing. High-volume assets

TIMEFRAMES

Short timeframes, during high-volume hours

01

The strategy in a nutshell

Supernova is MTM's TradingView indicator for impulsive reversals. You're almost always against the bigger trend: the aim is to catch the moment the chart pushes the other way.

The name comes from the stars on the base scanner. They used to be for finding the exit; now they've been adapted for the entry, with extra rules to avoid losing streaks.

The star on its own isn't an entry signal. The full signal, with the Sell or Buy label, only appears once all three confirmations are met.

02

What you see on the chart



Star and Sell label. The red star at the top is the first warning. Later the Sell label appears, with a yellow bar on the break candle. The circle on the right shows the last signal (here, no active signal).



The sell rule. Red star, three red candles in a row within 10 candles of the star, and a break and close below the 50 average. The red circle shows the last Sell signal.



The buy rule. The reverse of the sell: green star, three green candles in a row within 10 candles, and a break and close above the 50 average. The Buy signal appears on the break candle.



Stars, lines and circle. Red stars at the top and green ones at the bottom, Sell and Buy labels, three reference lines and the big circle on the right (green, for Buy). A star without a label is not a signal.

03

The confirmations

For a sell, the confirmations are met in this order. For a buy, everything is reversed. The signal only appears after the last one.

1. Star. A red star (sell) or green star (buy) appears. It's only the warning, and it can reappear while the move continues.
2. Three candles in a row. Three red candles in a row for a sell, or three green ones for a buy, within 10 candles of the star. The star candle itself can count.
3. Break and close of the 50 average. On a sell, price has to break and close below the 50 average. On a buy, above it. Only then does the Sell or Buy label appear.

04

Entry and management

1. When a star appears, do nothing. Wait for the three candles and the break.
2. Enter on the signal, that is, when the Sell or Buy label appears on the break and close of the 50 average. There's no need to enter later.
3. Source example on the US30: a 50 pip stop and a 100 pip target, 1 to 2 risk. The stop is wide because, against the trend, price may pull back to a support area before moving on. A very tight stop risks getting caught in that pullback.
4. Each asset has its own parameters. On the NAS100, for example, one educator uses a shorter stop. The source doesn't set rules for other assets: test on demo and use your own risk plan.
5. Set your stop, target and position size before entering, never after.
6. The source mentions break-even, protecting near a support level and trailing as alternative management, but doesn't detail them. Don't apply them without rules of your own.

05

When not to enter

- With only the star, without the three candles and the break. That would have meant losses.
- When the three candles happen before the 50 average is broken and the break only comes later: the signal didn't validate.
- When opposite colour candles between the three candles and the break interrupt the sequence: the move isn't impulsive.
- When the three candles come outside the 10 candles from the star: it's too late.
- After 10 candles of the same colour in a row: price is probably already reversing.
- Outside high-volume hours and on slow assets that trend gently.
- On a live account without first practising on demo.

06

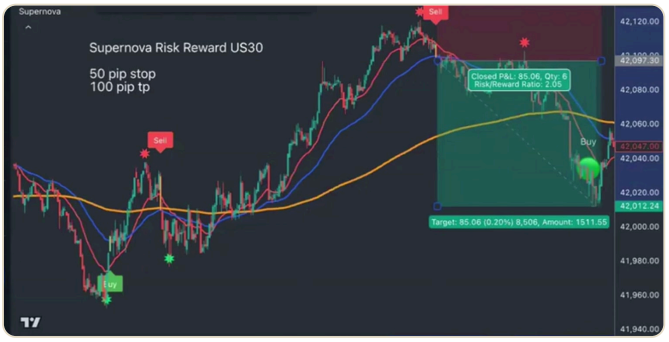
In practice



Sell on the US30. Red star at the top, three red candles and a break of the 50 average. After the signal, price dropped hard.



Buy on the US30. Green star at the bottom, three green candles in a row and a break above the 50 average, followed by a rally.



50 pip stop and 100 pip target. A position tool drawn by the presenter on a US30 sell, with a 50 pip stop and a 100 pip target.



Several signals on the NAS100. In one session, several Sell and Buy signals with risk and reward boxes drawn on top, to measure each trade.



A star with no signal. There are stars on the chart with no label: the three candles and the break didn't happen, so you don't enter.



Gold in a decline. Several stars, but only some have the Sell label. According to the source gold works well, but it needs more testing: take it easy.

07

Pocket checklist

- [ ] Star of the right colour on the chart
- [ ] Three candles in a row of the same colour, with no opposite candle in between
- [ ] Within 10 candles of the star
- [ ] Break and close of the 50 average after the three candles
- [ ] Sell or Buy label visible
- [ ] High-volume asset and high-volume hour
- [ ] Stop, target and position size set before entering
- [ ] Not 10 candles in a row of the same colour
- [ ] Strategy practised on demo

Disclaimer. This guide is educational and is not financial advice. Trading forex, indices, metals and crypto carries a high level of risk and you may lose some or all of your capital. Past results do not guarantee future results. Practise on a demo account first and set your risk before every entry.